

Pre-interest After Tax Return of Assets

The purpose of calculating this ratio is to determine the management's performance in deploying assets effectively without financing. Tax is included in the calculation as it is deducted before arriving at the profits. Interest, however, is not considered as it will vary from company to company and is a payment for capital or funds. The ratio is arrived at by expressing net return after tax but exclusive of interest as a percentage of average total assets:

Pre-interest after tax return on assets =

$$\frac{\text{Net income after tax} + \text{Interest expense net of income tax saving}}{\text{Average total assets}}$$

Illustration

An extract of the financials of Bhagwan Ltd. is as follows:

	Year-1	Year-2	Year-3
	Rs.	Rs.	Rs.
	(crore)	(crore)	(crore)
Earnings before Interest & tax		800	1,200
Interest expense		200	400
Pretax income		600	800
Tax at 50%		300	400
Net income after tax		300	400
Total assets	7,000	9,000	11,000

Pre-interest after tax return on tax is as follows:

$$\text{Year-2} \quad \frac{600 + 200 \times \frac{50}{100}}{0.5 (7000 + 9000)} = 8.75 \%$$

$$\text{Year-3} \quad \frac{800 + 400 \times \frac{50}{100}}{0.5 (9000 + 11000)} = 10.00 \%$$

In Year-2, Bhagwan Ltd. earned a return on assets prior to the cost of financing of 8.75%. This improved to 10.00 % in Year-3, suggesting that the assets had been used more effectively in the latter year. However while comparing other companies one should compare the return and determine whether the return is adequate (considering the size and the nature of the company.)